

UNIT-II

Q.1. Explain how planning involves decision making today that will have an impact later, Assume you have been put in charge of creating a program to control paper waste in a company as a part of sustainability measure set goals and develop plan what controlling measures would you take?

Ans. Planning and decision-making are the most important managerial functions, and there are many relations between them. Planning is thinking of doing. Decision-making is a part of planning. Planning is the process of selecting a future course of action, where Decision-making means selecting a course of action.

Planning and decision-making, organizing, leading and controlling are all interrelated. Planning and decision making is the most important step of all managerial functions

As an Incharge for sustainability development for developing plan various steps have been followed

1. Determine the project goals and objectives
2. Determine the project scope
3. Build your work breakdown structure (WBS)
4. Set timelines
5. Determine and plan resources
6. Estimate costs
7. Determine risks and constraints
8. Plan out communication
9. Make plans for quality control and assurance

Controlling Measures to be taken

The control process of management ensures that every activity of a business is furthering its goals. This process basically helps managers in evaluating their organization's performance. By using it effectively, they can decide whether to change their plans or continue with them as they are.

1. Establishing goals and standards
2. Measuring actual performance against goals and standards
3. Taking corrective action
4. Following up on corrective action

Q.2. What are attitudes? Describe its components. Discuss job related Attitudes?

Ans. An attitude describes persons' enduring favorable or unfavorable cognitive evaluations, feelings, and action tendencies toward some object or idea. People have attitudes regarding almost everything such as religion, politics, cloth, music, food. A person's attitudes settle into a coherent pattern and to change one may require difficult adjustment in many others. Thus, a company would be well advised to fit its product into existing attitudes rather than to try changing people's attitude.

Attitude can be defined as learnt predispositions to respond to an object or class of objects in a consistently favorable or unfavorable way.

Definition

Attitude is a mental and neutral state of readiness organized through experience, exerting a directive or dynamic influence upon individual's response to all objects and situations with which it is related.

Components of Attitude

- Cognitive component
- Affective component
- Behavioral component

Cognitive component

Beliefs are the cognitive components of consumer attitude. Cognitive component of attitude is associated with the value statement. It consists of values, belief, ideas and other information that a person may have faith in.

Positive brand associations enhance brand equity and are achieved through a number of positioning strategies. Through brand associations, marketers establish and influence favorable beliefs about a brand and unfavorable beliefs about competitors.

Example: Quality of sincere hard is a faith or value statement that a manager may have.

Affective component

Affective is the emotive component of consumer attitude. Affective component of attitude is associated with individual feelings about another person, which may be positive, neutral or negative.

Functional theory of attitude explains that consumers buy as a result of one of four psychological functions: adjustment, ego defense, value expression, and application of prior knowledge.

Belief importance model analyses affective responses across competing brands.

Example: I don't like Sam because he is not honest, or I like Sam because he is sincere. It is an expression of feelings about a person, object or a situation.

Behavioral component

Intention is the behavioral component of consumer attitude. Behavioral component of attitude is associated with the impact of various condition or situations that lead to person behavior based on cognitive and affective components.

Example: I don't like Sam because he is not honest is an affective component, I, therefore, would like to disassociate myself with him, is a behavioural component and therefore I would avoid Sam.

Job Related Attitudes.

Types of Job-Related Attitudes

There are uncountable attitudes a person can hold but thanks to organizational behavior (OB) that minimized the types of job-related attitudes to only three.

Simply, attitude by definition is a person's evaluation statement about something that may be people, work, etc. as good, bad, favorable, unfavorable, positive, or negative.

The main types of job-related attitudes are:

(a) Job Satisfaction

Job satisfaction means a person's positive emotions about his job. He has a positive feeling about his job. This means the person is satisfied with the facilities his job provides such as salary, incentives, bonuses, and other benefits.

Satisfied employees tend to have a positive personality about the organization, they feel motivated, feel happy, and positively contribute. And, employees with negative attitudes or low levels of job satisfaction feel stressed and their contribution is not sufficient for organizational health.

(b) Job Involvement

Job involvement refers to how closely an individual is linked with his or her job, how active he or she engages in it, and understanding how essential his or her performance is to one's self-worth. It means how strongly psychologically a person engages with his job.

(c) Organizational Commitment

Commitment is about giving a hundred percent. Organizational commitment means a high level of loyalty of employees towards their organization. Here, a person identifies with a specific organization's aims and aspires to remain a member of that organization.

This is the last job-related attitude that reflects the individual strong attachment to the organization. Highly loyal and satisfied employees desire to get a membership in the organization.

Q.3. What is difference between leadership and a management? Describe any two types of leadership styles. Suggest in which situation they are most relevant.

Ans. Leadership is a quality of influencing people, so that the objectives are attained willingly and enthusiastically. It is not exactly same as management, as leadership is one of the major elements of management.

Management is a discipline of managing things in the best possible manner. It is the art or skill of getting the work done through and with others. It can be found in all the fields, like education, hospitality, sports, offices etc.

One of the major difference between leadership and management, is management is for formal and organized group of people only, whereas leadership is for both formal and informal groups. To further comprehend the two concepts, take a read of the given article.

BASIS FOR COMPARISON	LEADERSHIP	MANAGEMENT
Meaning	Leadership is a skill of leading others by examples.	
Basis Trust	Control	
Emphasis on	Inspiring People	Managing activities
Power	Influence	Rule
Focus on	Encouraging change	Bringing stability

Leadership style**1. Authoritarian or autocratic leadership style**

Authoritarian—also referred to as autocratic—leaders have clear command and control over their peers. Decision-making is centralized, meaning there is one person making the critical decisions. An authoritarian leader has a clear vision of the bigger picture, but only involves the rest of the team on a task-by-task or as-needed basis.

Authoritarian leaders will be personal when giving others praise or criticism but clearly separate themselves from the group. While you might assume an authoritarian leader would be unpleasant, this isn't typically true. Rarely are they openly hostile. Instead, they're typically friendly or, at times, impersonal.

Examples of an authoritarian or autocratic leader's style:

- Their own learnings are more important than those of the team.

- In disagreements within the company, their view is typically the right one.
- If there are too many voices speaking, we can't get the job done.
- Opposing opinions on a project I'm in charge of don't matter.
- Advantages of an authoritarian leadership style:
- Authoritarian leaders have the ability to complete projects in a time crunch.
- This style is helpful when decisive action is needed.
- Autocratic leadership is successful when the leader is the most knowledgeable member of the group.

2. Participative leadership style

Participative or democratic leaders welcome everyone's opinions and encourage collaboration. While they might have the final say, these leaders distribute the responsibility of making decisions to everyone.

Participative leaders are part of the team. They invest their time and energy in their colleagues' growth because they know it will, in turn, help them reach the end goal. If you excel in collaborative group environments, this might be your leadership style.

Examples of a participative leader's style:

- In disagreements within the company, we should hear everyone's opinion and then come to a solution.
- The more people we have working on a project, the better the outcome will be.
- Opposing views because it will make the end product better.
- Advantages of a participative leadership style:
- Participative leadership leads to higher quality contributions.
- There is more creativity and group members feel engaged.
- Everyone understands the bigger picture and is motivated to reach the end goal.

Q.4. Management by objective is a strategic approach to increase company performance by aligning company and team objectives. In light of this statement explain MBO in detail.

Ans. Management by objectives (MBO) is a strategic management model that aims to improve the performance of an organization by clearly defining objectives that are agreed to by both management and employees. According to the theory, having a say in goal setting and action plans encourages participation and commitment among employees, as well as aligning objectives across the organization.

KEY TAKEAWAYS

Management by objectives (MBO) is a process in which a manager and an employee agree on specific performance goals and then develop a plan to reach them.

It is designed to align objectives throughout an organization and boost employee participation and commitment.

Management by Objectives (MBO) in 5 Steps

MBO outlines five steps that organizations should use to put the management technique into practice.

- Either determine or revise organizational objectives for the entire company. This broad overview should be derived from the firm's mission and vision.
- Translate the organizational objectives to employees. In 1981, George T. Doran used the acronym SMART (specific, measurable, acceptable, realistic, time-bound) to express the concept.

- Stimulate the participation of employees in setting individual objectives. After the organization's objectives are shared with employees from the top to the bottom, employees should be encouraged to help set their own objectives to achieve these larger organizational objectives. This gives employees greater motivation since they have greater empowerment.

- Monitor the progress of employees. In step two, a key component of the objectives was that they are measurable for employees and managers to determine how well they are met.

- Evaluate and reward employee progress. This step includes honest feedback on what was achieved and not achieved for each employee.

- The term "management by objectives (MBO)" was first used by Peter F. Drucker in his 1954 book titled The Practice of Management.

Advantages

- Employees take pride in their work and are assigned goals they know they can achieve that match their strengths, skills, and educational experiences.

- Assigning tailored goals brings a sense of importance to employees, boosting their output and loyalty to the company.

- Communication between management and employees is increased.

- Management can create goals that lead to the success of the company.

Q.5. What is decision making? Citing relevant examples, explain rational and bounded rationality decision making model.

Ans. Decision-making is a soft skill that involves choosing between possible solutions to a problem. It is a highly valued skill that many recruiters and hiring managers look for when seeking new talents. Typically, the person making a decision follows a step-by-step process, including collecting information, weighing pros and cons and reviewing alternative solutions.

Process for making decisions:

1. Identify the decision

Once you realise you must make a decision, define its nature and conditions. Find any variables that relate to the problem for consideration as well. It is important to understand if a decision is worth making. Not all situations require a tough decision, especially when other areas have a greater need for similar resources.

2. Collect information

Gather all the information you can regarding the situation and the decision. Determine what information you need and the best sources for it. Additionally, consider seeking out information both internally and externally for every situation. For example, you might gather some information internally through a self-assessment process by simply looking at what is in front of you. Find other information externally online, in books or from other sources.

3. Figure out alternatives

Think about all the possible solutions or choices to your decision. This is a step that you can perform continuously throughout your decision-making process. Try to come up with and carefully consider each option, even if at first you are tempted to dismiss it.

4. Evaluate your evidence

Use both your intuition and reason to assess your evidence. Analyse and predict what could be the outcomes of each option and which outcome would best fit the needs

of the problem or question. Rank your options in terms of which would be the most effective fix or choice and see if a winning idea becomes clear.

5. Pick an option

Select what you have determined to be the most effective choice. Your ultimate solution may also be a combination of your various options, depending on the circumstances and the particular decision. Make sure that you have considered both the potential benefits and drawbacks of each option before making your final choice.

6. Take action

Implement your decision. Begin taking action to make your decision happen. This may involve notifying your team or company leaders, acquiring resources or making a budget. Continue evaluating your decision as you put it into action and make changes or optimizations as needed.

Rational decision-making model

The rational decision-making model involves identifying the criteria that will have the biggest impact on your decision's outcome and then evaluating possible alternatives against those criteria. The steps of the rational decision-making model are:

Step 1: Define the problem: You'll want to start by identifying the issue you are trying to solve or the goal you are trying to achieve with your decision.

Step 2: Define criteria: The next step is to define the criteria you are looking for in your decision. For instance, if you are deciding on a new car, you might be looking for criteria such as space, fuel efficiency, and safety.

Step 3: Weight your criteria: If all of the criteria you define are equally important to you, then you can skip this step. If some factors are more important, you will want to assign a numerical value to your criteria based on how important each factor is.

Step 4: Generate alternatives: Having defined and weighted the criteria you are looking for, it's time to brainstorm ideas and develop a few alternatives that meet your criteria.

Step 5: Evaluate your alternatives: For each possible solution you come up with, you should evaluate it against your criteria, giving extra consideration to the criteria you weighted more heavily.

Step 6: Choose the best alternative: After evaluating all possible alternatives, select the option that best matches your weighted criteria.

Step 7: Implement the decision: The next to last step in the rational decision-making model is simply putting your decision into practice.

Step 8: Evaluate your results: It's essential to evaluate your results anytime you make a decision. Looking at your decision from a retrospective point of view can help you decide if you should use the same decision-making process in the future.

When to use this model

The rational decision-making model is best employed when you have numerous options to consider and plenty of time to evaluate them. One example of a scenario where this model might prove useful is choosing a new hire from a pool of candidates.

Bounded rationality decision-making model

Sometimes, taking action quickly and choosing a "good enough" option is better than getting bogged down in searching for the best possible solution. The bounded rationality decision-making model dictates that you should limit your options to a manageable set and then choose the first option that meets your criteria rather than conducting an exhaustive analysis of each one.

When to use this model

The bounded rationality decision-making model is best employed when time is of the essence. It's the best model to use when inaction is more costly than not making the best decision. For example, suppose your company has encountered an issue causing extended downtime. In that case, you may want to use the bounded rationality decision-making model to quickly identify the first acceptable solution since every minute wasted is costly.

Q.6. What is organizational structure? Differentiate between functional and matrix organizational structure.

Ans. An organizational structure is a system that outlines how certain activities are directed in order to achieve the goals of an organization. These activities can include rules, roles, and responsibilities.

The organizational structure also determines how information flows between levels within the company. For example, in a centralized structure, decisions flow from the top down, while in a decentralized structure, decision-making power is distributed among various levels of the organization.

KEY TAKEAWAYS

An organizational structure outlines how certain activities are directed to achieve the goals of an organization.

- Successful organizational structures define each employee's job and how it fits within the overall system.
- A centralized structure has a defined chain of command, while decentralized structures give almost every employee receiving a high level of personal agency.
- Types of organizational structures include functional, divisional, flatarchy, and matrix structures.
- Senior leaders should consider a variety of factors before deciding which type of organization is best for their business, including the business goals, industry, and culture of the company.

Difference between functional and matrix organizational structure.

Functional organization structure

Functional is the most common type of organizational design. In this type of structure, the organization is grouped into departments where people with similar skills are kept together in forms of groups, such as the sales department, marketing department and finance department. This helps companies ensure that each group or department performs at its peak.

There is usually a manager or a top-level executive managing a particular department, handling all decisions related to budget, resources, decision-making and staffing. A functional structure works best for those companies that operate in one location with a single product category. It also works well for small teams and small projects because resources can be more easily controlled and managed.

Functional organizational design tends to be difficult to adopt by larger companies that have many geographical locations because of expense and the difficulty of containing resources. Work also takes place in a silo, which means that sometimes team members don't have access to people outside of their division.

Matrix Organization Structure

A combination of two or more types of organizational structures, the matrix organization can help companies improve efficiency, readiness and market adaptation.

This type of structure works best for startups and other companies operating in a dynamic environment since they often can respond faster to market or customer demand while decreasing the lead time to create a new product.

The authority of a functional manager moves vertically downwards, and the authority of the project manager moves sideways. Since these authorities flow downward and sideways, this structure is called the matrix organization structure. A manager in a matrix organization has two or more upward reporting lines to bosses who each represent a different business dimension, such as product, region, customer, capability or function. It's often a response to corporate silos.

Skills are better utilized under a matrix structure, so companies can select the most capable employees in order to deliver projects. In addition, matrix structures can serve global customers by integrating business functions and responding to customer demands quickly.

Q.7. Explain cross cultural leadership?

Ans. Leadership in a cross-cultural environment means understanding and motivating a culturally diverse team to come together through a shared sense of purpose, which moves the team closer to the company's goals and vision for the future.

The Benefits of Leading a Cross-Cultural Team

Successful leaders understand that one of the top benefits employees actively seek is flexibility. In order to foster a positive work environment that optimally performs, it's important to keep this top of mind as it creates a culture of trust and loyalty when employees feel their time and efforts are valued and appreciated. This is more important now than ever as the workforce evolves into a virtual capacity composed of a globalized team. However, when a team is led successfully despite the barriers, there are a number of benefits:

Increased employee engagement – When employees know they work for a company that prioritizes and works with a diverse group of talent, they're more likely to appreciate the organization and believe in the company's mission, which results in more motivation, productivity, and overall engagement. Gartner Research reveals that inclusive teams improve performance by at least 30%.

Knowledge-sharing through new perspectives– A diverse team can learn a lot from each other. They can share skills, experiences, and information that help inspire the team to think creatively in ways they've not thought of before as a result of new perspectives. This greatly improves teamwork amongst individuals from different backgrounds. When the group is able to apply the unique knowledge they have gained from their colleagues, collaboration is more efficient and often innovative.

Greater innovation – According to Maryville University, companies with a diverse workforce are 1.8 times more likely to embrace change and 1.7 times more likely to become market leaders. This is likely because your team is feeling motivated to do their best work under leadership that makes them feel included and safe.

Attracts and keeps top talent – An increasingly high number of top talent are searching for work environments that value inclusivity and diversity in the workplace. This allows the potential employee to get a glimpse into your company's values. You'll gain more interested, qualified, and A-list job seekers when you prioritize hiring a highly diversified team. As an added benefit, your company's reputation gains positive traction in your industry as you positively interact with candidates, bring aboard new hires that respect the company's mission, and offer an employee experience where everyone is aligned in their values and goals, helping to retain your top performers.

Increased profits – As employee satisfaction within the company increases, so does employee performance and productivity, ultimately resulting in higher profits. In a survey conducted by the Harvard Business Review, over 1,700 companies across eight countries were examined to assess if there was any correlation between having diverse teams and a company's overall innovation and performance. The result of the survey was that in all eight countries, there was a statistically important relationship between diversity and innovation. The study continued to show that diverse companies had 19% higher revenue. CMS Wire also echoed a similar finding. Companies in the top quartile for racial and ethnic diversity are 36% more likely to see financial returns that exceed the average for their particular industry.

A cross-cultural team can yield so many benefits for the company by bringing in fresh perspectives, new ideas, and inspiration for more inspired creativity, all of which help cultivate a positive work environment.

The Challenges of Leadership in Cross-Cultural Environments

A multicultural environment is not without its complexities. Common expressions that we normally don't think twice about in everyday life can be easily misinterpreted by others from different cultures, especially in the absence of context. Working in an exclusively remote capacity exacerbates miscommunication in virtual teams.

For example, in a talk given at a TEDx event in Barcelona by Ricardo Fernandez, he outlined some of the challenges he experienced as a leader of teams located in multiple countries and the communication challenges that arose internally. One notable story involves a routine conference call with his team in South Africa. By the end of their meeting, one of his team members relays that he would call Ricardo "just now."

Ricardo ended the team call and waited. And continued waiting until, after 15 minutes, he sent a message asking if they were going to speak soon as he was under the impression they were going to speak shortly after the meeting. His team member responded, repeating what he had said and sending an image of how South Africans define some expressions of time. Fernandez had thought that they were going to speak in a matter of minutes, while his team member explained that they would talk in the near future, but not necessarily right at that moment. Fernandez was astounded that something as simple as expressions of time led to a misunderstanding. Fernandez also noted that while he was glad the miscommunication happened internally — allowing him an opportunity to digest the difference in expression — he considered that this may have not gone as well if it had happened in a meeting with a client.

This was an instance of the difference in forms of expression. Here are some other common cross-cultural misunderstandings that are common in work environments:

Attitudes towards conflict: Generally, any conflict in the workplace is considered uncomfortable and something to be avoided; however, in some cultures, conflict is actually viewed as a positive thing. In most cases, we are often encouraged to identify the root of the issue and begin the steps necessary to come to a resolution, likely involving a face-to-face discussion. Adversely, most Eastern countries like to address interpersonal conflict quietly and prefer written communication as the preferred way to solve issues.

Communication style: Having effective communication in the workplace is one of the biggest challenges for teams. This is especially true for diverse groups where language barriers may continuously lead to misunderstandings. Leaders must also be aware that certain cultures often use open-ended questions, rather than declarative statements.

Work Style: Leaders should be conscious of the different working hours and time zone differences of the people on their global team to maximize work output and ensure regular communication. It's important to have an understanding of the various holidays, expectations of time off, and overall work schedule that allows the team to maintain flexibility within their personal lives.

Decision-making: Different, more inclusive methods of leadership are certainly on the rise. However, the general view of decision-making primarily in the United States is that of the top-down system. Decisions are made at the top and then rolled down to those who will carry out the assignments and execute those instructions. For some cultures, especially in Japan, decision-making is a collective effort, in which consensus among the entire team is the favored method. Remember that individuals will likely approach decision-making from their cultural frame of mind.

Q.8. Explain Environmental forecasting with its methods.

Ans. In today's business world rapid changes are too frequent. It would be crucial for managers to invent new ways of surviving in the ever-changing business environment. They would have to build up the capacity of a firm to face the changes and adapting themselves to changes. They would have to find out new ways of creating opportunities of profitability and growth. The new rules and regulations also create more pressure on business.

To prepare for such ongoing eventualities, managers will have to prepare themselves for really understanding the remote and the immediate environments of business and mechanisms of changes that affect their industry or firm. The changes have not only affect smaller companies but also the giants of various industries. It creates an awareness of environmental forecasting.

1. Environmental Forecasting Methods:

Everyone can understand that the economic, technological, political and social changes are a part of organizational life. Given that fact, the obvious questions, how can these changes be forecast

To say the least, forecasting is a most difficult process. Some forecasting rules are the following:

- (a) It is very difficult to forecast, especially, the future.
- (b) The moment you forecast you know you're going to be wrong – you just don't know when and in which direction.
- (c) If you're right, never let them forget it.
- (d) Regardless of the possibility of error, to be successful, organizations must forecast their future environment.

Forecasting methods and levels of sophistication vary greatly. The methods employed may vary from educated guesses to computer projections using sophisticated statistical analyses. Several factors determine the most appropriate methods of forecasting, including the nature of the desired forecast, the available expertise, and the available financial resources.

All forecasting techniques can be classified as either qualitative or quantitative. Qualitative techniques are based primarily on opinions and judgments. Quantitative techniques are based primarily on the analysis of data and the use of statistical techniques. Several qualitative and quantitative techniques are available to business.

2. Qualitative Forecasting Techniques:

(a) **Sales Force Composite:** Under the sales force composite method, a forecast of sales is determined by combining the sales predictions of experienced sales people.

Because sales people are in constant contact with customers, they are often in a position to accurately forecast sales

Advantages of this method are the relatively low cost and simplicity. The major disadvantage is that sales personnel are not always unbiased, especially if their sales quotas are based on sales forecasts.

(b) Customer Evaluation: This method is similar to the sales force composite except that it goes to customers for estimates of what the customers expect to buy. Individual customer estimates are then pooled to obtain a total forecast.

This method works best when a small number of customers make up a large percentage of total sales. Drawbacks are that the customer may not be interested enough to do a good job and that the method has no provisions for including new customers.

(c) Executive Opinion: With this method, several managers get together and devise a forecast based on their pooled opinions. Advantages of this method are simplicity and low cost. The major disadvantage is that the forecast is not necessarily based on facts.

(d) Delphi Technique: The Delphi technique is a method for developing a consensus of expert opinion. Under this method, a panel of experts is chosen to study a particular question. The panel members do not meet as a group and may not even know each other's identity. Panel members are then asked (usually by mailed questionnaire) to give their opinions about certain future events or forecasts.

After the first round of opinions has been collected, the coordinator summarizes the opinions and sends this information to the panel members. Based on this information, panel members rethink their earlier responses and make a second forecast.

This same procedure continues until a consensus is reached or until the responses do not change appreciably. The Delphi technique is relatively inexpensive and moderately complex.

(e) Anticipatory Surveys: In this method, mailed questionnaires, telephone interviews, or personal interviews are used to forecast customer intentions. Anticipatory survey is a form of sampling, in that those surveyed are intended to represent some larger population.

Potential drawbacks of this method are that stated intentions are not necessarily carried out and that the sample surveyed does not represent the population. This method is usually accompanied by medium costs and not much complexity.

3. Quantitative Forecasting Techniques:

(a) Time-Series Analysis:

- This technique forecasts future demand based on what has happened in the past. The basic idea of time-series analysis is to fit a trend line to past data and then to extrapolate this trend line into the future.

- Sophisticated mathematical procedures are used to derive this trend line and to identify and seasonal or cyclical fluctuations. Usually a computer program is used to do the calculations required by a time-series analysis.

- One advantage of this technique is that it is based on something other than opinion. This method works best when a significant amount of historical data is available and when the environmental forces are relatively stable. The disadvantage is that the future may not be like the past.

(b) Regression Modeling:

- Regression modeling is a mathematical forecasting technique in which an equation with one or more input variables is derived to predict another variable. The variable being predicted is called the dependent variable. The input variables used to predict the dependent variable are called independent variables.

- The general idea of regression modeling is not determine how changes in the independent variables affect the dependent variable. Once the mathematical relationship between the independent variables and the dependent variable has been determined, future values for the dependent variable can be forecast based on known or predicted values of the independent variables.

- The mathematical calculations required to derive the equation are extremely complex and almost always require the use of a computer-. Regression modeling is relatively complex and expensive.

(c) Econometric Modeling:

Econometric modeling is one of the most sophisticated methods of forecasting. In general, econometric models attempt to mathematically model an entire economy. Most econometric models are based on numerous regression equations that attempt to describe the relationships between the different sectors of the economy.

Very few organizations are capable of developing their own econometric models. Those organizations that do use econometric models usually hire the services of consulting groups or company that specialist in econometric modeling. This method is very expensive and complex and is, therefore, primarily used only by very large organizations.

4. Environmental Scanning:

We now turn to discuss the methods techniques employed by the organizations to monitor their relevant environment and to gather data to derive information about the opportunities and threats that affect their business. The process by which organizations monitor their relevant environment to identify opportunities and threats affecting their business is known as environmental scanning.